

Matching each CapEx category to its own supply market turned scattered tenders into ~\$4M of savings.

A large upstream capital programme was bought package by package, leaking leverage at every award. Managing it as three categories, each with its own sourcing posture, delivered ~\$4M of CapEx savings and a governance model embedded in the client’s own team.

INDUSTRY Oil & gas — upstream E&P	ENGAGEMENT CONTEXT Consulting · Accenture · upstream E&P operator	ROLE CapEx category & sourcing lead	DURATION 12 months
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THE SITUATION

- A large upstream capital programme was sourced project by project, each package tendered in isolation.
- With no category strategy or aggregated demand view, leverage against a concentrated contractor base was limited.
- Any consolidation had to keep technical, quality and schedule requirements intact.

MY CONTRIBUTION

Within Accenture’s team, led CapEx sourcing and category management: built strategies for EPC, surface facilities and drilling & completions, aggregated demand across projects, ran sourcing from qualification to award, and embedded category governance in the client’s team.

THE JUDGMENT THAT MATTERED

Leverage came from the structure of the process as much as the size of the package. A concentrated market does not reward a longer bidder list; it rewards disciplined stage-gates — so each category earned its own contracting approach.

EXHIBIT 1 Three categories, three supply markets, three sourcing postures

Share of the managed capital programme



One programme, three supply markets — and therefore three sourcing approaches.

SO WHAT

EPC dominates the programme and earns the most structured competition; smaller categories are better served by frame agreements than a full re-tender each cycle.

EXHIBIT 2 What changed: from package-by-package buying to category management

Before and after

	Before	After
Unit of sourcing	Each package tendered alone	Category managed across projects
Demand view	Project by project	Aggregated across the programme
Competition	One tendering formula for all	Posture matched to each supply market
Suppliers	Transactional, award by award	Frame agreements and managed routines
Ownership	Project teams	Category governance in the client’s team

SO WHAT

The savings came from the process, not a longer bidder list: stage-gated competition where the market is concentrated, frames where volume repeats.

WHAT THE WORK DELIVERED

~\$4M in CapEx savings across the managed sourcing portfolio.

Category strategies for EPC, surface facilities and drilling & completions, replacing project-by-project buying.

Category playbooks and supplier-management routines embedded with the in-house team.

HEADLINE

~\$4M

CapEx savings delivered

Sources. Managed capital programme segmented into sourcing categories and sized by share of programme value. No split of the ~\$4M saving across categories is implied. Accenture named as engagement context; the E&P client is withheld. **Anonymisation & basis.** Client, supplier and peer identities withheld. Outcome figures are rounded from engagement results; exhibit internals are indexed or illustrative and show the analytical structure, not client data.